

File number: 342.91081/20/22/8

Bern, 7<sup>th</sup> November 2022

## Decision

### of the Federal Department of Justice and Police FDJP

in the case of

Request by MSC Mediterranean Shipping Company SA, 2 -14, chemin Rieu, 1208 Geneva,  
(applicant)

represented by Louis Burrus and Giulia Marchettini attorneys-at-law, Schellenberg Wittmer SA, 15bis,  
rue des Alpes, Case postale 2088, 1211 Geneve 1

regarding

an authorization pursuant to art. 271 para. 1 of the Swiss Criminal Code (CP ; SR 311.0)

### I. Summary of the facts

1. By request of 10 October 2022, the applicant made the following request:

*[...] In view of the foregoing, MSC respectfully requests from the Federal Department of Justice and Police the issuance of an authorization within the meaning of Article 271 of the Swiss Penal Code for the production of documents located in Switzerland requested by MCS in the context of the proceedings initiated by the U.S. Federal Maritime Commission in the United States, bearing the reference ("Docket No.") 21-05.*

2. According to the applicant's explanations, the following procedure is the basis of its request:

*MSC is an international company incorporated under Swiss law, active primarily in the shipping industry. MSC was sued before the US Federal Maritime Commission (FMC) by MCS Industries, Inc. [...] with whom it was engaged in a contractual relationship.*

*In July 2021, MCS Industries filed a civil action (private reparations action) against MSC, based on alleged violations of the United States Shipping Act of 1984, 46 U.S. Code Sections 40101 et seq. In this proceeding, MCS Industries is asserting, among other things, civil claims before the FMC based on alleged contractual violations by MSC that also violate the US Shipping Act.*

*The case was assigned to Judge Erin. M. Wirth, (hereinafter: "**the Judge**") a member of the Office of the Administrative Law Judges (hereinafter: the "**ALJ**"), a body under the FMC.*

3. According to the explanations given in the request, the following procedural steps preceded the request:

*By motion of November 22, 2021, MCS Industries requested that the Judge order the taking of evidence, both in the United States and in Switzerland. In particular, MCS Industries requested the production by MSC of a wide range of internal business documents (including financial statements and documents containing third-party data).*

*On December 8 2021, the Judge granted MCS Industries' motion and ordered MSC to produce the requested documents, albeit within the temporal, spatial, and material limitations requested by MCS Industries.*

*On May 31, 2022, a request for assistance, pre-drafted by counsel for MCS Industries, was made by the Judge and notified (through counsel for MCS Industries) to the Court of First Instance of Geneva (TPI). This request, based on CLaH70 was for the TPI to call upon MSC to provide documents and information, and then to respond in writing, under oath, to requests for information, in connection with the pending FMC proceedings.*

*By decision of June 29, 2022, the TPI rejected the request for assistance on the grounds that the proceedings for which assistance was sought were "administrative proceedings conducted by an administrative judge attached to the U.S. Federal Maritime Commission" and thus "not related to a civil or commercial matter and thus not within the scope of the CLaH70".*

*On July 15, 2022, MSC and MCS Industries informed the Judge of the TPI's rejection of the request for mutual assistance. In addition, considering the TPI's decision to be incorrect as regards the applicability of the CLaH70, MSC argued that a new request for mutual assistance - setting out in greater detail the nature of the dispute and the powers of the requesting authority - should be submitted to the Swiss authorities.*

*However, by Order of July 29, 2022, the Judge refused to submit a new request for assistance to the Swiss authorities and ordered MSC to produce the requested evidence by August 29, 2022.*

*Following this decision, MSC decided to request clarification from the Federal Office of Justice (hereinafter: the "FOJ") regarding the scope of application of the CLaH70 and the possibility for the requesting authority to resubmit a new request for mutual assistance. A request to this effect was sent to the Directorate for International Judicial Assistance of the FOJ on August 11, 2022.*

*On August 25, 2022, MSC requested an extension of the deadline set by the Judge to August 29, 2022, to produce the requested evidence, in order to be able to obtain the additional clarifications requested from the FOJ and to be able, on this basis, to propose a solution that would allow it to provide the requested documents without contravening Swiss law.*

*The FOJ responded to MSC's request for information on September 6, 2022. In its response, the FOJ confirmed that a new request for mutual assistance could be made to the Swiss authorities. On the other hand, the FOJ provided a very detailed list of criteria to be taken into account in determining whether or not a request for mutual assistance fell within the scope of civil and commercial matters within the meaning of the CLaH70.*

*[...]*

*The FOJ's response was forwarded to the Judge dated September 6, 2022. On September 8, 2022, however, the Judge issued a new Order denying MSC's request for an extension of time and giving MSC two weeks - which expired on September 22, 2022 - to provide the required documents or show cause why a default judgment should not be entered against it. The*

*September 8, 2022 Order also dismissed the FOJ's opinion, finding that it only outlined the process for resubmitting a request for assistance and the factors that could be considered in doing so, without any discussion of the merits of the case.*

## **II. In Law**

4. According to art. 271 (1) para. 1 of the Swiss Criminal Code, any person who, without being authorized to do so, carries out activities on behalf of a foreign state on Swiss territory that fall under the authority of the public authorities is punished. This provision is intended to prevent the exercise of foreign state power on Swiss territory and to protect the monopoly of state power and Swiss sovereignty. An act of an authority or an official is - irrespective of whether or not an official has acted - any act which, considered in itself, *i.e.* according to its nature and purpose, is characterized as an official activity. It is therefore not the person of the perpetrator that is decisive, but the official character of the act. The punishable act must be carried out for a foreign state, *i.e.* in the latter's interest. The constituent elements of the offence concern only acts performed without the authorization of the State (cf. BGE 148 IV 66 c. 1.4.1).
5. In accordance with art. 31 para. 1 of the Ordinance of 25 November 1998 on the Organization of the Government and Administration (OLOGA; SR 172.010.1), the departments and the Federal Chancellery decide on the authorizations to carry out acts of public authority for a foreign state under Art. 271 (1) para. 1 of the Swiss Criminal Code. Art. 31 para. 2 OLOGA states that cases of major political or other importance must be submitted to the Federal Council. The request of the applicant falls within the scope of mutual legal assistance in civil matters, which is the responsibility of the FDJP. It is not a case of major political or other importance. The FDJP is competent to deal with the request.
6. According to a decision of the Federal Council of 25 June 1997 (published in JAAC 61.82), an authorization within the meaning of art. 271 (1) para. 1 SCC may be granted provided that mutual assistance is not excluded in principle and that, although it may be possible, it is practically impossible or vain in the circumstances. It follows that no authorization may be granted where mutual assistance is possible.
7. This is the case here. As the Applicant itself points out, mutual legal assistance under the Hague Convention on the Taking of Evidence Abroad in civil and commercial matter of 18<sup>th</sup> March 1970 (RS 0.274.132) is open. Contrary to the decision of 29<sup>th</sup> June 2022 of the Geneva Court of First Instance, the case is in fact a civil and commercial matter. The foreign proceedings concern a relationship between two subjects of private law arising from a private law relationship in the form of a contract. It concerns damages, a typical civil law claim. It is irrelevant whether *the Office of the Administrative Law Judges of the Federal Maritime Commission* is a civil court or - as the name suggests - an administrative court.

What is decisive is the nature of the subject matter of the proceedings (RODRIGUEZ, *Commentaire Zurichois LDIP*, 3rd ed. Preliminary remarks on art. 11-11d N 3 *with references*). Furthermore, the request states that the US Supreme Court has also materially qualified damage actions before the FMC as civil actions.

8. In the part concerning the application of the request to the case in question, it is also rightly stated that the rejection of the request for mutual legal assistance by the Court of First Instance has no material effect (*res iudicata*). A request for mutual legal assistance may be re-filed in an improved form. In this case, there is a real probability that a request for mutual legal assistance that grounds the existence of a civil and commercial case in the same way as the present request will be accepted by the court.

9. Therefore, the request must be rejected.

10. In accordance with art. 2 para. 1 of the General Ordinance of 8 September 2004 on fees (RS.172.041.1), any person who requests a decision or a service is required to pay a fee. In this case, the fee is set at CHF 2,000 on the basis of art. 13 of the Ordinance of 10 September 1969 on costs and compensation in administrative proceedings (RS 172.041.0).

### **III. Decision**

In view of the foregoing, it is decided that:

1. The request for authorization under art. 271 para. 1 SCC is rejected.
2. The costs of the proceedings in the amount of CHF 2,000 shall be borne by the applicant.

### **IV. Indication of legal remedies**

An appeal against this decision may be lodged in writing with the Federal Administrative Court within 30 days of its notification, to the Federal Administrative Court, P.O. Box, 9023 St. Gallen. The contested decision and the available evidence will be attached to the appeal. For the rest, reference is made to the Federal Act of 20 December 1968 on Administrative Procedure (AP; RS 172.021).

Federal Department of Justice and Police FDJP

*[signature]*

Karin Keller-Sutter

Member of the Federal Council

**Notification:**

- to the applicant (through its legal representative, in duplicate)

**Communication:**

- to the Federal Prosecutor's Office
- to the Federal Department of Foreign Affairs, Directorate of Public International Law
- to the Federal Department of Finance
- to the Federal Department of Economic Affairs, Education and Research